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Fwd: About AI

HYu <haofeng.yu@gmail.com> Thu, Apr 16, 2026 at 9:30 AM
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A big picture of AI, Actuaris, and Insurance Industry - for dicussion

AI Definition
AI encompasses ML and DL, along with other capabilities that mimic human intelligence. These include:

1. **Natural Language Processing (NLP) -> Agentic AI**
2. Computer Vision
3. Auditory processing (the ability to hear and distinguish sounds)
4. Text-to-speech conversion
5. Robotics and motion, which involve physical actions and perceptions

AI Classification, by OECD

- https://www.oecd.org/content/dam/oecd/en/publications/reports/2022/02/oecd-framework-for-the-classification-of-ai-systems_336a8b57/cb6d9eca-en.pdf

Internation Actuarial Association

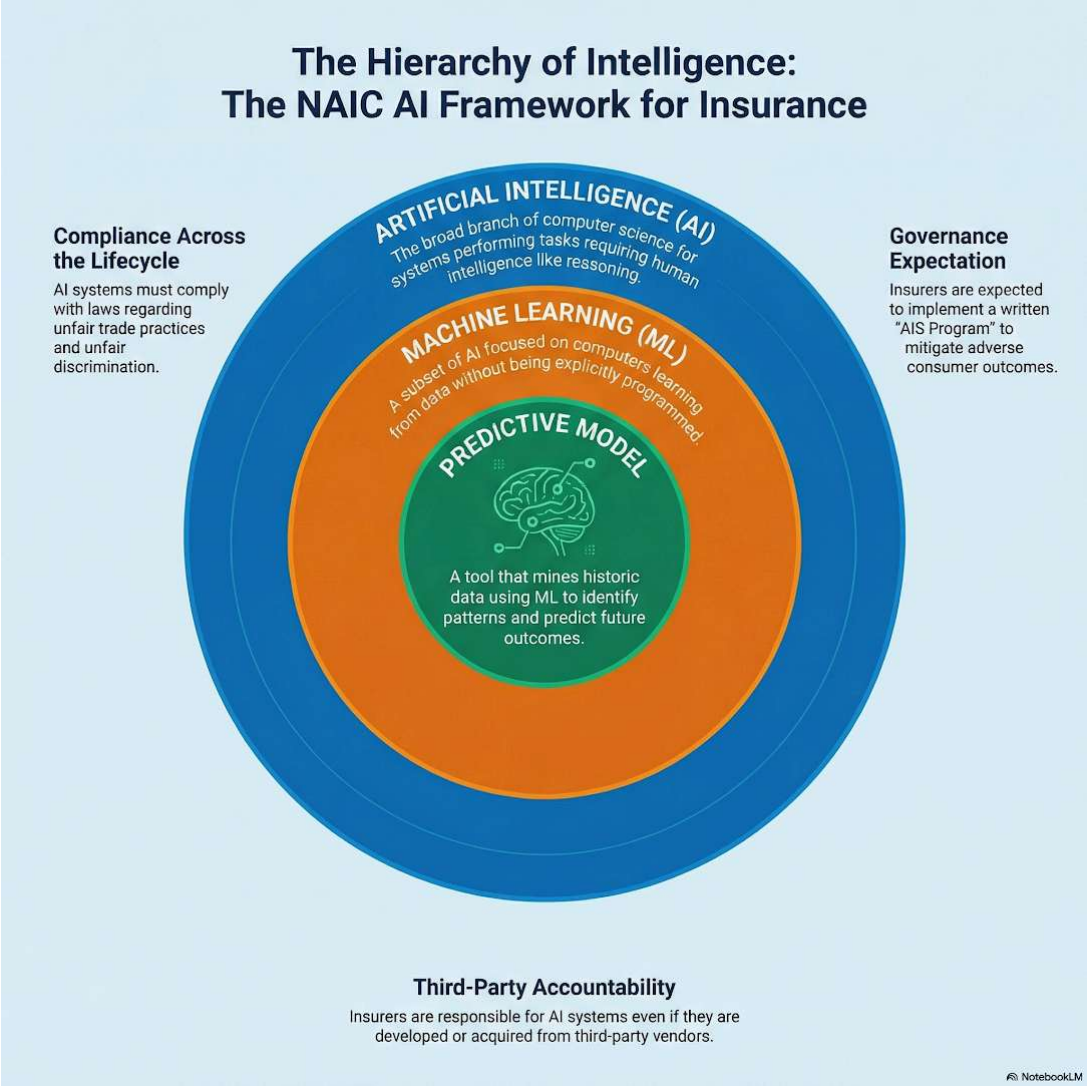
- IAA Releases Three New Papers to Support Responsible AI in Actuarial Practice – International Actuarial Association
- **UK - IFA** https://www.theactuary.com/features/2025/06/25/check-your-ai-framework-its-use-actuarial-practice
- **US - SOA** https://www.soa.org/globalassets/assets/files/resources/research-report/2025/ai-risk-management-frameworks-report-2025.pdf

AI Frameworks, by IBM

- https://www.ibm.com/think/topics/ai-frameworks

For FolioX, by NAIC

1. 5 principles
2. model bulletin - USE OF ARTIFICIAL INTELLIGENCE SYSTEMS BY INSURERS
3. assessment tool


The Hierarchy of Intelligence:
The NAIC AI Framework for Insurance
Compliance Across the Lifecycle
AI systems must comply with laws regarding unfair trade practices and unfair discrimination.
ARTIFICIAL INTELLIGENCE (AI)
The broad branch of computer science for systems performing tasks requiring human intelligence like ressoning.
MACHINE LEARNING (ML)
A subset of AI focused on computers learning from data without being explicitly programmed.
PREDICTIVE MODEL
A tool that mines historic data using ML to identify patterns and predict future outcomes.
Governance Expectation
Insurers are expected to implement a written "AIS Program" to mitigate adverse consumer outcomes.
Third-Party Accountability
Insurers are responsible for AI systems even if they are developed or acquired from third-party vendors.
NotebookLM